

---

---

## MEMORANDUM

---

---

**TO:** Mayor Marian Orr and City Council  
**FROM:** Robin Lockman, City Treasurer  
**DATE:** February 19, 2020  
**SUBJECT:** Revolving Real Property Fund

---

On February 24, 2020, the Governing Body will be referring a resolution to the Finance Committee for consideration of creating a Revolving Real Property Fund. This would be a Special Revenue Fund similar to the City of Casper's Revolving Land Fund.

The purpose of the Revolving Real Property Fund would be to create a mechanism to facilitate the City of Cheyenne's acquisition and resale of real property. The Governing Body would decide on a case-by-case basis if the proceeds of any real property sale should be deposited into this new fund. The proceeds would earn interest and be used for future real property capital expenditures, instead of being absorbed into the General Fund and used for operating expenditures as was done in the past.

This new fund would allow the City to be fiscally responsible by saving for the construction or acquisition of much needed future capital expenditures such as a new fire station, a gymnasium, or even remodeling or reconstructing the Municipal Building. The funds could also be used to pay for architectural and engineering related design services for future 6<sup>th</sup> penny ballot projects.

Please feel free to call me at (307) 637-6336 if you have questions. Thank you for your consideration.

Date: 2/13/20

RESOLUTION NO. \_\_\_\_\_

**ENTITLED: "A RESOLUTION CREATING A REVOLVING REAL PROPERTY  
SPECIAL REVENUE FUND TO ACCOUNT FOR THE ACQUISITION  
AND RESALE OF REAL PROPERTY OF THE CITY OF CHEYENNE."**

WHEREAS, the Governing Body of the City of Cheyenne wishes to be fiscally prudent by following the Government Finance Officers Association's recommendation of limiting the use of one-time revenues for ongoing operating expenditures; and

WHEREAS, the Governing Body understands that revenue from the proceeds of property sales is of a non-recurring nature and should be spent on non-recurring capital expenditures; and

WHEREAS, the Governing Body also understands that to restrict the use of real property sale proceeds to non-recurring capital expenditures as well as facilitate redevelopment and revitalization efforts a Revolving Real Property Fund should be created to account for the acquisition and resale of real property of the City of Cheyenne; and

WHEREAS, real property is defined as land and anything growing on, affixed to, or built upon the land; and

WHEREAS, the Revolving Real Property Fund will hold the proceeds received from the sale of any surplus real property to be used only for the acquisition or construction of new real property for the City of Cheyenne; and

WHEREAS, Governing Body will decide on a case-by-case basis if the proceeds of the sale of any real property of the City of Cheyenne should be deposited in the Revolving Real Property Fund; and

WHEREAS, the Revolving Real Property Special Revenue Fund will be managed by the City Treasurer and balances of the fund will be reported monthly to the Governing Body; and

WHEREAS, revenue deposited into the Revolving Real Property Special Revenue Fund will include proceeds from the sale of City owned real property by auction, negotiated sale or other means, as well as interest or investment income earned on money in the fund; and

WHEREAS, expenditures should only include the costs to design and construct real property, purchase real property, or prepare currently owned real property for sale.

NOW, THEREFORE, BE IT RESOLVED BY THE GOVERNING BODY OF THE CITY OF CHEYENNE, WYOMING, that a Revolving Real Property Special Revenue Fund shall be created to account for proceeds received from the sale of surplus real property to be used only to purchase or acquire new real property or prepare current real property for sale for the City of Cheyenne.

PRESENTED, READ AND ADOPTED this \_\_\_\_\_ day of \_\_\_\_\_, 2020.

\_\_\_\_\_  
Marian J. Orr, Mayor

(SEAL)

Attest:

\_\_\_\_\_  
Kristina F. Jones, City Clerk